



Nifty50 is a broad-based collection of the top 50 companies in India

“But, but housing is always on the up. It has been tried and trusted”

It is true that some people caught the unbelievable upturn during the first decade of the 21st century. No one predicted the rise and until then, housing prices didn't keep up with inflation too. It made a lot of people keep primary homes, buy secondary properties and count on history to repeat.

The fact is: **if you're going to hand-pick specific dates**, I can down you with an equity-wallop. If you had bought 1 Wipro stock at ₹ 100 during its initial offering (1980), you would be holding 4.6crores now (36 years later). It has returned over 46% year on year while real estate got nowhere near it. With hindsight, everyone's a genius; besides there's no assurance that the same events will repeat itself.

If you're going to hand-pick locations: Bangalore did brilliant with huge returns previously, but is hungry for new owners now. At any time, we can find cities that don't do well but have done well in the past. Some of them made people rich but now have unprecedented levels of empty apartments (*ahem*, Mumbai).

The cost of tying up your cash to a huge purchase is always problematic. It is two-fold:

1. With no wriggle room, other pleasures -ex. vacations, buying a car take the back seat in priority.
2. Plus, you miss out on investing in higher-returns generating equity.